

Advanced Coverage Logic, Claims & Digital Ecosystem: ICICI Lombard Health Insurance

This research document details the technical frameworks and policy logic employed by ICICI Lombard, focusing on AI-automated claims, usage-based wellness rewards, and specialized benefit triggers.

1. Advanced Claim Logic: AI & Automation

ICICI Lombard is a pioneer in integrating Artificial Intelligence (AI) and Machine Learning (ML) into the claim authorization pipeline to reduce manual friction.

A. The 1-Minute Cashless Approval Logic

- **Technology Stack:** Uses a combination of **Cognitive Computing**, **Intelligent Character Recognition (ICR)**, and **Optical Character Recognition (OCR)**.
- **Process Flow:** When a network hospital uploads a pre-authorization request, the AI engine:
 1. **Extracts Data:** Reads the discharge summary, lab reports, and diagnosis.
 2. **Validates Admissibility:** Compares the diagnosis against policy terms and National Health Authority (NHA) treatment guidelines.
 3. **Algorithmic Approval:** Automatically calculates the approved amount based on defined fee schedules for procedures like **Cataract, Appendicitis, Hemodialysis, and Maternity**.
- **Trigger for Manual Review:** If the AI detects a mismatch (e.g., experimental treatment or suspected fraud), an alert is raised for manual scrutiny by a claims adjudicator.

B. The Claims Copilot

To assist human adjudicators for complex cases (20+ page documents), the insurer uses an Azure-based **Claims Copilot**. This system identifies clinical presentations and medical history to eliminate "Person-Dependent Variability" in claim decisions.

2. Advanced Coverage Logic & Benefits

ICICI Lombard employs specific logical triggers for replenishing coverage and managing pre-existing risks.

A. The "Reset Benefit" Algorithm

- **Activation Trigger:** Triggers only from the **second claim** onwards within a policy year. It

does not apply to the first claim even if it exceeds the sum insured.

- **Exhaustion Requirement:** Generally requires the exhaustion of the base Sum Insured (SI) and any accrued No Claim Bonus (NCB).
- **Same Illness vs. Different Illness Logic:**
 - **Standard Reset:** The reset amount can be used only for an illness or injury **unrelated** to the previous claim for the same individual.
 - **Floater Advantage:** In a family floater, if one person exhausts the SI for a heart condition, the reset SI is available for any other family member for any condition (including heart), or for the same person for a different condition (e.g., an accident).

B. "Jumpstart" & PED Logic

- **Jumpstart Feature:** An advanced rider that allows for a reduction in the standard Pre-Existing Disease (PED) waiting period.
- **Reduction Scope:** Can reduce a 48-month wait to as little as 12-24 months by applying a "Loading" (additional premium) at inception.

3. Wellness & Preventive Ecosystem: BeFit & Rewards

ICICI Lombard has transitioned to a "Digital Healthcare Ecosystem" via its **IL TakeCare** app, focusing on OPD (Outpatient Department) logic.

A. BeFit Rider Mechanics

The **BeFit** cover is a cashless OPD solution that provides:

- **Unlimited Tele-consultations:** 24/7 access to general and specialist doctors via video/chat.
- **Cashless Pharmacy & Diagnostics:** Covers prescribed medicines and lab tests at network providers without a reimbursement wait.
- **Physiotherapy Cover:** Includes physical sessions for injury or deformity recovery.

B. Wellness Rewards Logic (The Points System)

The insurer uses "Behavioral Economics" to lower its long-term claim ratio by rewarding healthy habits:

- **Earning Logic:**
 - **Step Tracking:** 8,000+ steps/day for 20 days a month = 200 points/month (Max 2,400/year).
 - **Health Risk Assessment (HRA):** Completing an online health quiz = 400 points.
 - **Professional Events:** Participating in a marathon/cyclothon = 2,500 points.
- **Redemption Logic:** Each wellness point is typically equivalent to **₹0.25**. These points can be used to pay for non-covered medical expenses (dental, pharmacy, dietician fees) or to avail **renewal discounts of up to 10-15%**.

4. Cost Optimization Features

- **Health Booster (Super Top-Up):** Operates on an "Aggregate Deductible" logic. It kicks in only after the total claims in a year exceed a chosen limit (e.g., ₹5 Lakhs), offering a much cheaper way to get a ₹1 Crore cover.
- **Worldwide Emergency Cover:** Advanced logic that provides a fixed benefit or indemnity for emergency hospitalizations outside India, often with a 10% co-payment.

Summary of Logic Parameters

Feature	Logic Type	Operational Effect
Reset Benefit	Sequential Trigger	SI replenished 100% for unrelated illnesses.
AI-Cashless	Neural Adjudication	Approval in < 60 seconds for standard procedures.
Step Tracker	Habit-Linked Discount	Up to 15% discount on renewal premiums.
BeFit OPD	Cashless Network	Bypasses the 24-hour admission requirement.
Jumpstart	Wait-Period Override	Faster coverage for known chronic conditions.